Ramhet vs Punjab And Sind Bank Through Its Branch ... on 5 March, 2026

STATE CONSUMER DISPUTES REDRESSAL COMMISSION
CHANDIGARH
FIRST APPEAL NO. SC/4/FA/302/2025
(Against the Order dated 1st September 2025 in Complaint No. DC/44/CC/31/2025 of the Dis
Consumer Disputes Redressal Commission Chandigarh district commission)

RAMHET
PRESENT ADDRESS - H NO 36 WATER WORKS MANIMAJRACHANDIGARH ,
CHANDIGARH,CHANDIGARH.
.

Versus

PUNJAB AND SIND BANK Through its BRANCH MANAGER.
BUSINESS ADDRESS - SCO 84 91 BANK SQUARE SECTOR 17 BCHANDIGARH ,
CHANDIGARH,CHANDIGARH.
.....Respondent(s)

BEFORE:
HON'BLE MR. JUSTICE RAJ SHEKHAR ATTRI , PRESIDENT
HON'BLE MR. PREETINDER SINGH , MEMBER

FOR THE APPELLANT:
RAMHET

DATED: 05/03/2026
ORDER

STATE CONSUMER DISPUTES REDRESSAL COMMISSION, U.T., CHANDIGARH Appeal No. : 302 of 2025 Date of Institution : 24.10.2025 Date of Decision : 05.03.2026 Ram Het son of Sh. Bish Ram aged about 46 years, r/o H. No. 36, Water Works. Manimajra, Chandigarh.

.....Appellant/complainant Versus Punjab & Sind Bank, SCO No. 84-91 Bank Square, Sector 17-B, Chandigarh through its Branch Manager.

.....Respondent/ opposite party BEFORE: JUSTICE RAJ SHEKHAR ATTRI, PRESIDENT MR.PREETINDER SINGH, MEMBER Present:-

Sh.Devinder Kumar, Advocate for the appellant alongwith appellant in person.

None for the respondent.

PER JUSTICE RAJ SHEKHAR ATTRI, PRESIDENT The complainant (now appellant) has assailed the order dated 01.09.2025 passed by the District Consumer Disputes Redressal Commission-I, U.T., Chandigarh (in short the District Commission), vide which the consumer complaint bearing no.31 of 2025 filed by him was dismissed by it.

2. Before the District Commission, it was the case of the complainant/appellant that he was maintaining a salary/savings account with the opposite party bank. On 20.06.2024, he visited the ATM of the opposite party bank at Sector 17, Chandigarh and withdrew Rs.1,000/-. After the transaction, his ATM card inadvertently remained inside the ATM machine. On 23.06.2024, the complainant received SMS alerts showing five unauthorized transactions totaling Rs.39,000/- from his account, which he had neither authorized nor executed. Immediately upon receiving the alerts, he took steps to safeguard his interest and reported the matter. The complainant lodged a complaint with the Cyber Crime Cell and also informed the local police. Thereafter, on 25.06.2024, he submitted a written complaint to the opposite party bank requesting reversal of the fraudulent withdrawals. Despite timely reporting, the opposite party refunded only Rs.14,000/- out of the total disputed amount of Rs.39,000/-. The complainant contended that since the fraudulent withdrawals occurred on 23.06.2024 and the same were reported on 25.06.2024 within two days and effectively within three working days (excluding Sunday) his case falls under "Zero Liability" as per RBI guidelines. Alleging deficiency in service and non-compliance with RBI directions, he filed a consumer complaint seeking refund of the remaining amount along with interest and compensation.

3. The opposite party bank resisted the complaint by filing its written version. It was contended that the complainant himself was negligent in leaving his ATM card in the machine on 20.06.2024. According to the bank, it was the responsibility of the complainant to immediately block the card upon realizing its loss. The opposite party submitted that the complainant did not report the loss of the ATM card on the same day and took action only after unauthorized transactions had already occurred. Therefore, the loss was the direct result of the complainant's own negligence. It was further pleaded that upon receiving the complaint on 25.06.2024, the bank promptly blocked the ATM card and examined the transactions. During scrutiny, it was noticed that on 23.06.2024 the daily withdrawal limit of Rs.25,000/- had been exceeded. Consequently, the bank refunded Rs.14,000/- to the complainant being the excess over the permissible limit. The opposite party maintained that there was no deficiency in service on its part and that, in view of the complainant's negligence in leaving the ATM card in the machine and failing to report the matter immediately, he was liable to bear the loss as per RBI guidelines.

4. The contesting parties led evidence in support of their case.

5. The District Commission after hearing the contesting parties and on going through the material available on record dismissed the consumer complaint. Hence this appeal has been filed by the appellant/complainant.

6. The record of the District Commission was requisitioned.

7. None put in appearance on behalf of the respondent, on the date of arguments, before this Commission. Accordingly, we have heard the counsel for the appellant and have carefully gone through the material available on the record.

8. Counsel for the appellant submitted that the appellant was maintaining a savings account with the opposite party bank. On 20.06.2024, while withdrawing Rs.1,000/- from the ATM of the respondent, his ATM card remained in the machine. He further submitted that on 23.06.2024, five unauthorized transactions amounting to Rs.39,000/- were debited from his account. He further submitted that despite the fact that the opposite party itself admitted that the fraudulent withdrawals took place on 23.06.2024 and the appellant reported the matter to the bank on 25.06.2024, yet, the District Commission dismissed the consumer complaint, while holding to the contrary.

9. The moot question, which falls for consideration is, as to whether , the appellant's case falls within the category of "Zero Liability" or "Limited Liability" under the RBI Guidelines on unauthorized electronic banking transactions, and whether the District Commission erred in dismissing the complaint?

10. Before proceeding further, it is apt to reproduce the relevant section of the RBI guidelines qua Limited Liability of a Customer , which reads as follows:-

> "....."Limited Liability of a Customer
>
> (a) Zero Liability of a Customer
>
> 6. A customer's entitlement to zero liability shall arise where the unauthorised transaction occurs in the following events:
>
> i. Contributory fraud/ negligence/ deficiency on the part of the bank (irrespective of whether or not the transaction is reported by the customer).
>
> ii. Third party breach where the deficiency lies neither with the bank nor with the customer but lies elsewhere in the system, and the customer notifies the bank within three working days of receiving the communication from the bank regarding the unauthorised transaction.
>
> (b) Limited Liability of a Customer
>
> 7. A customer shall be liable for the loss occurring due to unauthorised transactions in the following cases:
>
> i. In cases where the loss is due to negligence by a customer, such as where he has shared the payment credentials, the customer will bear the entire loss until he reports the unauthorised transaction to the bank. Any loss occurring after the reporting of

the unauthorised transaction shall be borne by the bank.

ii. (vi) xxxxxxxxx xxx x x x x x."

11. It may be stated here that it is an admitted position of this case that the fraudulent withdrawals occurred on 23.06.2024; the appellant reported the matter to the opposite party bank on 25.06.2024 and that 23.06.2024 was followed by 24.06.2024 (Sunday). Thus, the reporting was made within two days of the fraudulent transaction and effectively within three working days, especially when excluding Sunday. As per the RBI Circular on "Customer Protection - Limiting Liability of Customers in Unauthorised Electronic Banking Transactions", a customer is entitled to zero liability where the deficiency lies neither with the bank nor with the customer but elsewhere in the system; and the customer notifies the bank within three working days of receiving communication regarding the unauthorized transaction.

12. In the present case, the respondent's own stand is that the fraudulent withdrawals occurred on 23.06.2024 and were reported on 25.06.2024. Therefore, the reporting was within the prescribed period of three working days. The District Commission erred in computing negligence merely from the fact that the ATM card was left in the machine, without appreciating that the liability framework under RBI guidelines is triggered from the date of unauthorized transaction and reporting thereof.

13. Furthermore, once the opposite party bank itself refunded Rs.14,000/- on the ground of excess withdrawal beyond the daily limit, it impliedly acknowledged that unauthorized withdrawals had indeed taken place and that internal safeguards had failed. In these circumstances, fastening the entire loss upon the appellant is contrary to the spirit and mandate of the RBI guidelines. The finding of the District Commission that the appellant alone was negligent and liable to bear the entire loss is not sustainable in law and is hereby set aside.

14. Keeping in view the above discussion, we are of the considered view that the impugned order passed by the District Commission, being not based on the correct appreciation of evidence and law on the point, suffers from illegality and perversity, warranting interference of this Commission.

15. In view of the aforesaid discussion, the impugned order passed by the District Commission is set aside. This appeal stands partly allowed. Resultantly, the consumer complaint stands partly allowed. Respondent/opposite party-Bank is directed as under:-

> i. To refund the remaining amount of Rs.25,000/- (Rs.39,000/- minus Rs.14,000/- already refunded) to the appellant/complainant alongwith interest @ 9% per annum on the said amount from 23.06.2024 (the date of unauthorized withdrawal) onwards; ii. To pay Rs.20,000/- as compensation to the appellant/complainant for causing him mental agony and physical harassment and also negligence and deficiency in providing service. iii. To pay cost of litigation to the tune of Rs.10000/- to the appellant/complainant. iv. This order be complied within a period of 30 days from the date of receipt of a certified copy thereof, failing which, thereafter, the awarded amounts shall carry interest @12% p.a. from the date of default, till realization.

16. Certified copies of this order be sent to the parties, free of charge, forthwith.

17. The appeal file be consigned to Record Room, after completion and the record of the District Commission-I, U.T., Chandigarh be sent back immediately.

Pronounced 05.03.2026 Sd/-

[JUSTICE RAJ SHEKHAR ATTRI] PRESIDENT Sd/-

(PREETINDER SINGH) MEMBER Rg .....

JUSTICE RAJ SHEKHAR ATTRI PRESIDENT .....

PREETINDER SINGH MEMBER